NOVACREST TECHNOLOGIES

LOGO

Q3 2026 Strategic Review

Board of Directors Meeting

September 15, 2026 | Series B | $15M ARR | 120 Employees

$15M

Annual Recurring Revenue

120

Team Members

Series B

Current Stage

Executive Summary

3 KEY WINS

1. ARR crossed $15M

Grew 18% QoQ, exceeding board plan by $1.2M. Enterprise segment drove 65% of new bookings.

2. Net retention hit 125%

Expansion revenue from upsells and platform add-ons. Best quarter since Series A.

3. Enterprise pipeline 3.2x

Signed 4 new Fortune 500 logos. Average deal size up 40% to $180K ACV.

2 CONCERNS

1. SMB churn elevated at 4.2%

Monthly churn spiked from 2.8% in Q2. Root cause: onboarding gaps and competitive pricing pressure from Acme Corp.

2. Engineering velocity slowed

Shipped 72% of planned features (target: 90%). Key delays in platform API and SSO enterprise features.

1 DECISION NEEDED

Approve $2.5M bridge investment in sales capacity

Enterprise pipeline is 3.2x but current AE team is at capacity. Requesting approval to hire 5 additional AEs and 2 SEs in Q4 to capture the pipeline window before competitors respond.

Impact: Projected to add $4.5M incremental ARR by Q2 2027.

Risk if delayed: Lose 60% of qualified pipeline to Acme Corp and Zenith.

Revenue Dashboard

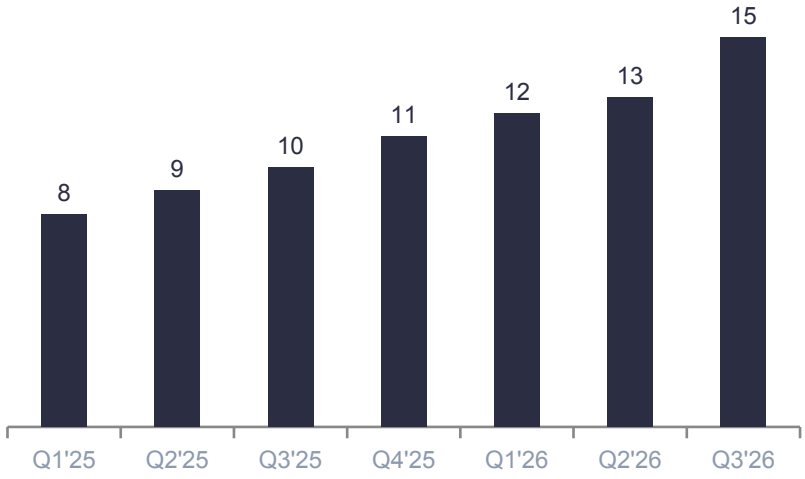
ARR
$15.0M
+18% QoQ

NET RETENTION
125%
+8pts vs Q2

NEW ARR
$2.3M
Q3 bookings

PIPELINE
$22.4M
3.2x coverage

ARR Growth Trend ($M)



Pipeline by Segment

Segment	Pipeline	# Deals	Avg ACV
Enterprise	$14.2M	38	$180K
Mid-Market	$5.8M	72	$80K
SMB	$2.4M	185	$13K
Total	**$22.4M**	**295**	**$76K**

Product Update

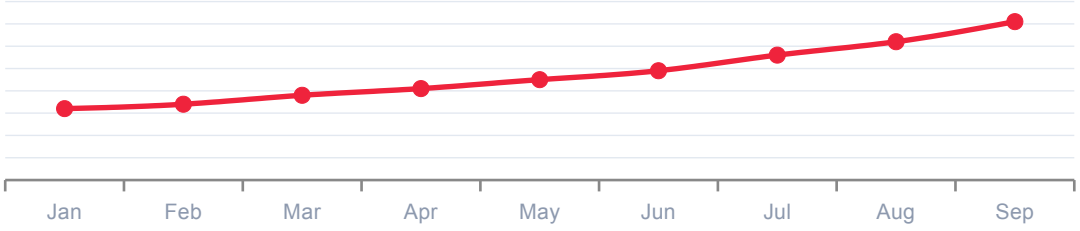
Shipped in Q3

Feature	Adoption	Status
Advanced Analytics Dashboard	78% of enterprise users	Live
SSO / SAML Integration	42 accounts activated	Live
API v3 with Webhooks	156 integrations built	Live
Custom Workflow Builder	34% weekly active usage	Beta
Mobile App (iOS)	2,100 downloads	Live

Q4 Roadmap Priorities

- **P0** Enterprise permissions & RBAC
- **P0** Data export & compliance (SOC2)
- **P1** AI-powered recommendations engine
- **P1** Salesforce native integration
- **P2** Android mobile app
- **P2** Multi-language support

Feature Adoption Trend (DAU)



Go-to-Market Performance

BLENDED CAC
$18.2K
-12% vs Q2

CAC PAYBACK
14 mo
-2mo vs Q2

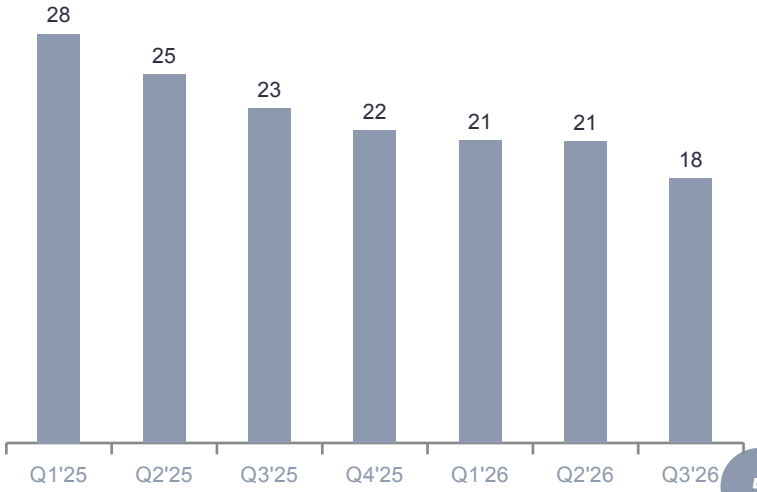
LTV:CAC
4.8x
Target: >3x

EXPANSION REV
$1.1M
48% of new ARR

Channel Performance

Channel	New ARR	CAC	Deals
Outbound Sales	$980K	$24.5K	18
Inbound / Content	$620K	$11.2K	42
Partnerships	$420K	$15.8K	12
PLG / Self-Serve	$280K	$6.4K	95

CAC Trend by Quarter ($K)



Customer Health

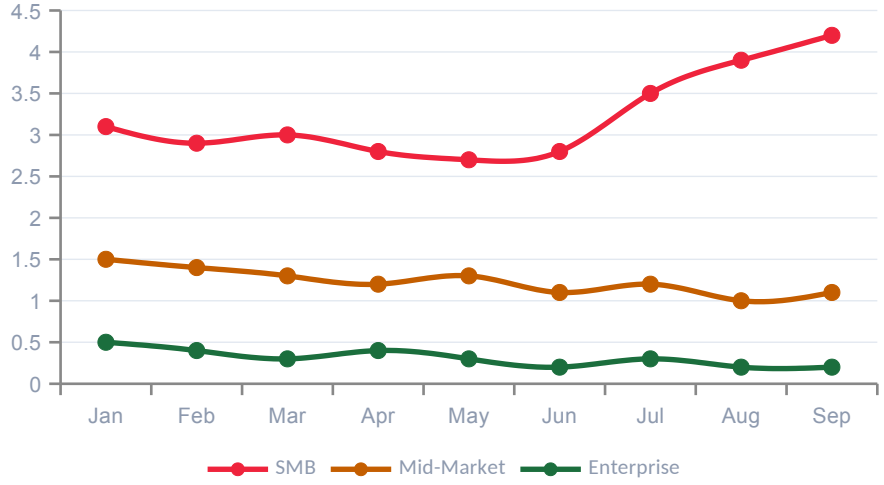
NPS SCORE
62
+5 vs Q2

GROSS CHURN
2.1%
Logo churn

REVENUE CHURN
0.8%
Net of expansion

CSAT
4.6/5.0
Support tickets

Monthly Churn Rate (%)



Top Accounts at Risk

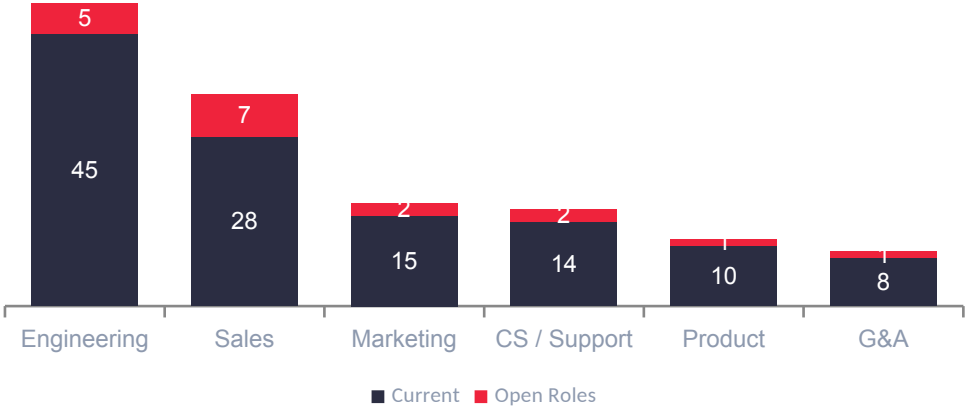
Account	ARR	Risk
GlobalTech Inc	$320K	HIGH
Meridian Health	$210K	HIGH
Apex Financial	$185K	MED
TrueNorth Logistics	$145K	MED
Pinnacle Systems	$120K	MED

Total at-risk ARR: $980K (6.5% of total ARR)

Team & Hiring

HEADCOUNT	OPEN ROLES	Q3 HIRES	ATTRITION
120	18	14	8.5%
+14 in Q3	Across all teams	92% fill rate	Annualized

Headcount by Function



Key Hiring Priorities (Q4)

Account Executives (5)
Pipeline capacity — Critical

Solutions Engineers (2)
Enterprise support — Critical

Sr. Backend Engineers (3)
API & platform — High

Product Manager (1)
Enterprise features — High

DevOps / SRE (2)
Scale & reliability — Medium

Competitive Landscape

	NovaCrest	Acme Corp	Zenith AI	LegacyPro
Est. ARR	$15M	$45M	$22M	$120M
Growth Rate	85% YoY	40% YoY	110% YoY	8% YoY
Enterprise	Strong	Strong	Moderate	Strong
Product Depth	Strong	Moderate	Strong	Moderate
AI / ML Capabilities	Strong	Weak	Strong	Weak
Pricing	Moderate	Strong	Moderate	Weak
Integrations	Moderate	Strong	Weak	Strong
Customer Support	Strong	Moderate	Moderate	Moderate

Key Competitive Insights

- Zenith AI is our fastest-growing competitor
  -- Recently raised $40M Series C; investing heavily in enterprise sales and AI features
- Acme Corp expanding downmarket with aggressive pricing
- Our differentiation: depth of analytics + customer support + AI-native architecture

Financial Outlook

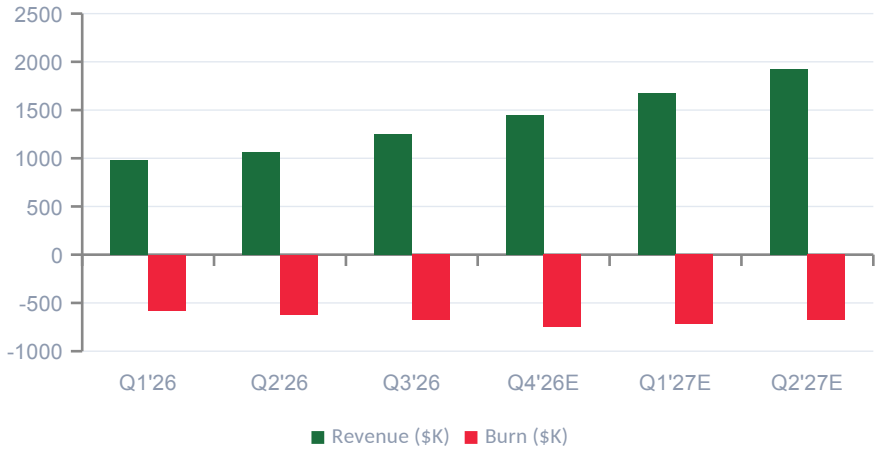
MONTHLY BURN
$680K
Incl. new hires

CASH BALANCE
$18.2M
As of Sep 30

RUNWAY
26 mo
At current burn

BREAK-EVEN
Q2 2028
Current trajectory

Revenue vs Monthly Burn ($K)



Path to Profitability

Q4 2026 — On track
Reach $1.5M MRR

Q1 2027 — On track
Gross margin > 80%

Q3 2027 — Stretch
Operating cash flow positive

Q2 2028 — Target
Full P&L break-even

Key Risks & Mitigations

Risk	Impact	Likelihood	Mitigation
SMB churn acceleration	High	Medium	Investing in onboarding automation, launching retention-focused CSM team, competitive pricing tier for SMB.
Zenith AI competitive pressure	High	High	Accelerating AI roadmap, deepening enterprise moat with SSO/RBAC, expanding partner channel.
Engineering hiring delays	Medium	Medium	Engaged 2 recruiting agencies, increased referral bonus, exploring acqui-hire opportunities.
Key person dependency (CTO)	High	Low	Promoting VP Eng internally, documenting architecture decisions, equity refresh in progress.
Macro environment / budget cuts	Medium	Medium	Diversifying across verticals, building ROI calculator for prospects, offering annual prepay discounts.

Board Asks

What we need from the board this quarter

1

Approve $2.5M Sales Capacity Investment

DECISION

Hire 5 AEs and 2 SEs to capture 3.2x enterprise pipeline. Expected ROI: $4.5M incremental ARR by Q2 2027.

2

Board Introductions to Target Accounts

ACTION

We have identified 12 enterprise prospects where board members have direct relationships. Warm introductions could accelerate 60-day pipeline by $3.8M.

3

Strategic Guidance on Acquisition Opportunities

INPUT

Two small companies (analytics tooling, workflow automation) are available. Could accelerate roadmap by 12 months. Seeking board input before proceeding to diligence.

4

Compensation Committee Review

DECISION

Need approval for updated equity refresh pool ($1.2M in options) to address retention risk for 8 critical engineers and 3 senior sales leaders.

Appendix: Detailed Financials

Quarterly P&L Summary ($K)

	Q1'26	Q2'26	Q3'26	Q4'26E	FY'26E
Revenue	**$2,940**	**$3,180**	**$3,750**	**$4,350**	**$14,220**
Subscription	$2,720	$2,950	$3,480	$4,050	$13,200
Services	$220	$230	$270	$300	$1,020
COGS	($590)	($640)	($750)	($870)	($2,850)
Gross Profit	**$2,350**	**$2,540**	**$3,000**	**$3,480**	**$11,370**
Gross Margin	80.0%	79.9%	80.0%	80.0%	80.0%
S&M	($1,120)	($1,200)	($1,380)	($1,650)	($5,350)
R&D	($980)	($1,050)	($1,150)	($1,250)	($4,430)
G&A	($340)	($360)	($380)	($400)	($1,480)
Total OpEx	**($2,440)**	**($2,610)**	**($2,910)**	**($3,300)**	**($11,260)**
EBITDA	**($90)**	**($70)**	**$90**	**$180**	**$110**
Net Burn	($580)	($620)	($680)	($750)	($2,630)

Cash Flow Summary

	Beginning	Net Burn	Ending	Runway
Q3 2026	$19.6M	($1.4M)	**$18.2M**	**26 months**